

14 Jul 2026 06:48:36 ET | 13 pages

Shennan Circuit (002916.SZ)

1H26 Preliminary Results In-line; Stock Preference of KBL > Shengyi > Shennan Amid Material Cost Inflation

CITI'S TAKE

Shennan guided 1H26 NP of Rmb2.10-2.30bn, up 54-69% yoy. We attribute growth to AI-driven storage and computing-power demand associated with the Guangzhou plant on ABF substrate ramp releasing capacity. Shennan delivered 2Q26 NP growth of 55% along with quarterly net profit run rate to rise 59% qoq in 2Q to Rmb1.35bn. However, this looks substantial underperformance compared to upstream AI-CCL play **Shengyi** with mid-pt guiding net profit surge of 135% yoy and quarterly net profit run rate of 76% qoq to Rmb2.04bn. On the other hand, vertical integrator is the best like **KB Laminate** this year. We estimate **KB Laminate** 1H26 net profit would jump by 3.3X and quarterly net profit run rate would surge by 2X yoy in 2Q. We thus prefer upstream over downstream on AI-CCL supply chain as **KB Laminate > Shengyi Tech > Shennan**.

Decelerating 2Q26 NP growth on material cost inflation and base issue – Shennan net of 1Q26 NP of Rmb850m (+73% yoy), the guide implies 2Q26 NP of Rmb1.25-1.45bn, up 44-67% yoy (mid +55%) and +59% qoq. The yoy deceleration from 1Q26 partly reflects a stronger material cost inflation and firmer 2Q25 base (+42.9% vs 1Q25's +29.5%). Among China AI-PCB camp, Shennan remains unique business model with BT substrate (via Wuxi plant) for smartphone and ABF substrate (via Guangzhou plant mainly for memory and margin recovery since 3Q25).

Read-across to KBL and Shengyi Tech – Both Shennan and Shengyi enjoy mix upgrade into AI-PCB and AI-CCL respectively. However, Shengyi's implied 2Q at ~+135% at mid-point vs Shennan's ~+55%. Shengyi delivered a higher quarterly profit run rate of 76% qoq in 2Q vs Shennan merely 59% in 2Q. More important, we project KBL 1H26 net profit to soar by 3.3X to HK\$4.0bn with quarterly net profit run rate to surge by 2X from ~HK\$1bn in 1Q to HK\$3bn in 2Q. This obviously restates why we prefer upstream over downstream ie **fiberglass fabric & copper foil > CCL > PCB** on AI-CCL supply chain as **KB Laminate > Shengyi Tech > Shennan Circuit**.

Buy

Price (14 Jul 26 15:00)	Rmb408.990
Target price	Rmb360.000
Expected share price return	-12.0%
Expected dividend yield	0.4%
Expected total return	-11.5%
Market Cap	Rmb278,590M US\$41,155M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Figure 1. Shennan - quarterly P&L with 2Q preliminary results

FY Dec, RMBmn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E Low	2Q26E Mid	2Q26E High
Total Revenue	4,783	5,671	6,301	6,893	6,596			
yoy, %	20.7%	30.1%	33.2%	41.9%	37.9%			
COGS	(3,600)	(4,106)	(4,323)	(4,922)	(4,672)			
yoy, %	21.5%	29.2%	22.5%	29.8%	29.8%			
Gross Profit	1,183	1,564	1,978	1,971	1,924			
yoy, %	18.6%	32.3%	64.7%	84.8%	62.6%			
Tax and Surcharges	(22)	(38)	(41)	(25)	(35)			
Selling Expenses	(84)	(88)	(85)	(124)	(103)			
yoy, %	21.3%	30.9%	5.2%	41.4%	23.5%			
Administrative Expenses	(538)	(581)	(775)	(763)	(700)			
yoy, %	11.6%	23.8%	67.9%	30.4%	30.2%			
Assets Impairment Loss	(120)	(82)	(104)	(66)	(160)			
Net Income from Fair Value Changes	2	0	(0)	3	(4)			
Net Income from Investment	3	0	(0)	0	2			
Gains/losses from Asset Disposals	(0)	(3)	(3)	1	1			
Other Income	113	219	105	84	88			
EBIT	538	992	1,074	1,080	1,012			
yoy, %	36.3%	47.7%		169.2%	88.1%			
Financial Costs	(10)	(11)	(12)	(16)	(69)			
Non-Operating Income	1	2	1	2	2			
Non-Operating Expenditure	(5)	(7)	(3)	(2)	(4)			
PBT	523	976	1,060	1,065	941			
Tax	(31)	(106)	(93)	(114)	(89)			
PAT	492	869	967	950	851			
Minority Interest	1	0	1	0	1			
Attributable Net Profit	491	869	966	950	850	1,250	1,350	1,450
yoy, %	29.5%	42.9%	92.9%	143.9%	73.0%	43.9%	55.4%	66.9%
Core net profit	485	780	916	932	849	1,231	1,331	1,431
yoy, %	44.6%	37.2%	94.2%	156.1%	75.0%	57.7%	70.5%	83.4%
Ratios	1Q25	2Q25	3Q25	4Q25	1Q26			
GPM	24.7%	27.6%	31.4%	28.6%	29.2%			
EBIT Margin	11.2%	17.5%	17.1%	15.7%	15.3%			
NPM	10.3%	15.3%	15.3%	13.8%	12.9%			
ETR	6.0%	10.9%	8.8%	10.7%	9.5%			
Selling expense ratio	1.8%	1.5%	1.4%	1.8%	1.6%			
Administrative expense ratio	11.2%	10.2%	12.3%	11.1%	10.6%			
YoY change in GPM (ppts)	-0.5%	0.5%	6.0%	6.6%	4.4%			

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Source: Citi Research, Company Reports

Shennan Circuit

Valuation

Our target price for Shennan shares of RMB360 is based on forward 2027E PE target of 38x at +2sd over mean as we roll over from prior 43x PE to 38x PE (at +2SD) following the release of 1Q26 results beat. We employ +2SD over mean for Shennan earnings upcycle under AI-PCB demand. This is backed by 3-yr EPS CAGR of 32% thru 2028E. The company's status is one of the key proxies on AI server and BT substrate – both contributed ~75% of total sales. The PE target reflects the sustained PCB industry upcycle with datacenter server, AI server, EV, etc. during 2026-28E, though the 5G base station installations maintain modest growth in China this year. The start-up loss for new plant for Guangzhou FC-BGA Ph1 took place in 2025 but this would start operate breakeven from 2026 which is about 1yr earlier than prior guidance of 2027. Our target PE of 38x forward equates to a ~20-30% premium to the sector average, which we see as warranted given: 1) Shennan's leading position in the communication PCB sector, enhanced by its SOE background; and 2) the company's technology leadership position on AI-server, communication, datacenters, autos (on ADAS) among peers with the potential to deliver a higher margin on a more advanced technology curve.

Risks

Downside risks that could hinder the shares from reaching to our target price include: 1) Foreign AI server boom and other leading players is slower than expected; 2) weaker-than-expected demand on auto and ADAS system; 3) lower-than-expected profit of BT substrate new plant in Wuxi; and 4) higher-than-expected laminate cost inflation.

Kingboard Laminates Holdings

(1888.HK; HK\$58.3; 1; 14 Jul 26; 16:10)

Valuation

Our target price for KBL shares of HK\$130 is based on a ~28-29x P/E for 2027E, at 3SD over mean, which is even higher than its historical cycle peak between +1SD and +2SD, to reflect the growing % of its AI-fabric new business from 2H26E which should trigger re-rating along with further earnings upgrade possibility on e-glass fabric given higher run rate of price inflation in June. We employ +3SD reflecting recent kickoff of three kilns on AI-fabric from 2Q26. We think the premium is justified as we expect a continued GM expansion cycle during 2026E-28E along with potential earnings upgrades given KBL would expand its customer base for AI-fabric under the NVDA and ASIC ecosystem this year. We think a PE methodology appropriately captures the company's medium-term operating performance. Our target price translates to 0.3x PEG (regional comp around 0.6x) backed by strong three-year earnings CAGR of 99% (was 92%) thru 2028E. We think this appears undemanding compared with regional CCL comps.

Risks

Upside/downside risks that could cause the stock to exceed/underperform our target price include: 1) faster/ slower-than-expected demand on upstream materials such as glass fabric and copper foil on AI-related products; 2) China macro growth performs faster/slower-than-expected; 3) stronger/weaker-than-expected stimulus policies in China; or 4) recovery/weakness in end-demand of electronic goods.

Shengyi Technology

(600183.SS; Rmb147.9; 1; 14 Jul 26; 15:00)

Valuation

Our target price for SYTECH of Rmb195 is based on a 56x 2027E PE, +4SD. We employ a PE target multiple at +4SD reflecting Shengyi demonstrating persistent increase of wallet share at NVDA from GB200 to GB300 and further in Vera Rubin. We still see continued earnings upgrade opportunity for 2026E-28E backed by rising % of revenue from AI-CCL in coming years. The premium PE target over mean is justified, in our view, based on our 3-year EPS CAGR of 45% over 2025-28E, following a ~24% decline in 2023. Our target PE implies 1.2x PEG which looks comparable with major regional peers. We believe its high PE target over mean is appropriate given: 1) SYTECH's strong track record of winning market share in the global CCL market (from 8% in 2007 to 13% in 2024); 2) SYTECH's technology edge as the first to enter Nvidia AI supply chain among China CCL players; and 3) increasing premium for domestic component sourcing, underpinned by bans preventing dealing with US companies to source components.

Risks

Key downside risks to achieving our target price include: 1) lower-than-expected demand for AI-CCL order, 2) subdued China consumption, and 3) worse-than-expected capex on 5G/IoT products. Key upside risks to achieving our target price include: 1) secure of ASIC-based customers for CCL orders, 2) better-than-expected macro-economic conditions in China, 3) better-than-expected operating margin on higher rev growth due to high operating leverage, and 4) stronger-than-expected AI demand and consumption subsidy.

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Appendix A-1

ANALYST CERTIFICATION

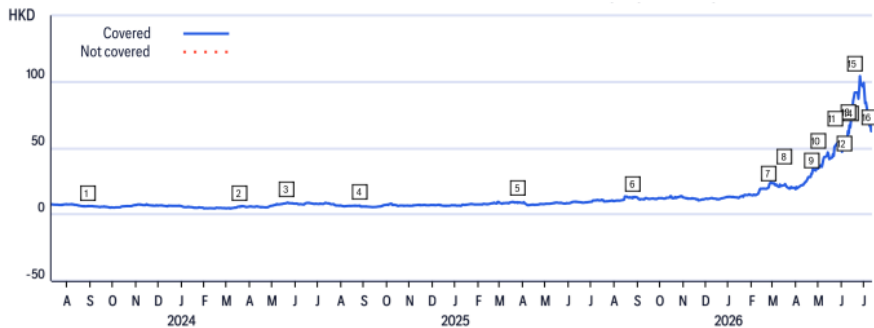
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IMPORTANT DISCLOSURES

Kingboard Laminates Holdings (1888.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



Date	Rating	Target Price	Closing Price
1 28-Aug-23 11:03:13	1	*9.95	6.22
2 18-Mar-24 13:55:33	1	*8.16	6.00
3 20-May-24 16:10:28	1	*12.44	8.50
4 26-Aug-24 12:52:14	1	*11.45	6.67
5 24-Mar-25 13:48:33	1	*13.94	9.23
6 25-Aug-25 14:05:25	1	*20.41	12.24

*Indicates Change

Date	Rating	Target Price	Closing Price
7 23-Feb-26 11:49:32	1	*27.87	20.29
8 16-Mar-26 17:59:34	1	*29.86	22.10
9 22-Apr-26 09:32:35	1	*42.80	30.72
10 03-May-26 18:02:15	1	*50.77	34.54
11 25-May-26 19:33:53	1	*65.70	50.87
12 03-Jun-26 08:03:10	1	*75.65	54.00

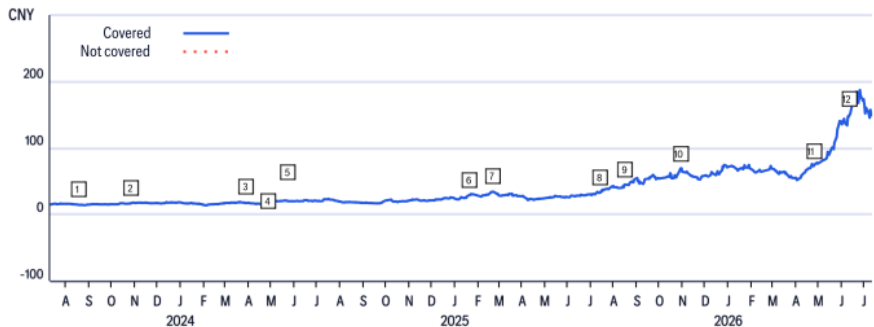
Date	Rating	Target Price	Closing Price
13 08-Jun-26 10:05:51	1	*79.63	55.69
14 14-Jun-26 17:16:22	1	*100.00	65.60
15 18-Jun-26 00:33:31	1	*120.00	91.85
16 06-Jul-26 04:51:13	1	*130.00	73.85

Rating/target price changes above reflect Eastern Time

Shengyi Technology (600183.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



Date	Rating	Target Price	Closing Price
1 18-Aug-23 11:43:29	*3	*12.00	14.45
2 26-Oct-23 16:01:40	*1	*19.00	16.27
3 28-Mar-24 17:00:11	1	*20.00	17.54
4 26-Apr-24 12:34:42	1	*22.50	16.83

*Indicates Change

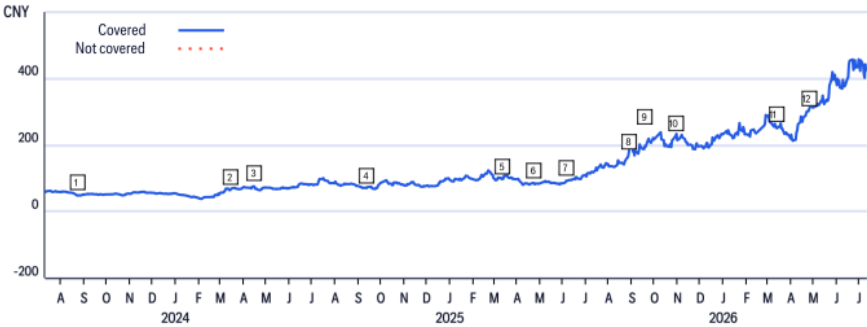
Date	Rating	Target Price	Closing Price
5 22-May-24 19:52:26	1	*27.00	20.33
6 20-Jan-25 04:55:26	1	*35.00	29.06
7 20-Feb-25 09:48:03	1	*41.00	33.72
8 14-Jul-25 11:40:03	1	*43.80	32.91

Date	Rating	Target Price	Closing Price
9 17-Aug-25 18:25:36	1	*60.00	44.83
10 28-Oct-25 11:39:58	1	*83.00	67.39
11 26-Apr-26 19:07:57	1	*96.00	72.63
12 11-Jun-26 09:01:12	1	*195.00	149.73

Rating/target price changes above reflect Eastern Time

Shennan Circuit (002916.SZ)
Ratings and Target Price History
Fundamental Research

Analyst: Eric Lau



	Date	Rating	Target Price	Closing Price
1	23-Aug-23 12:40:58	3	*36.92	47.80
2	14-Mar-24 12:44:06	3	*44.62	64.29
3	15-Apr-24 18:02:05	3	*57.69	75.37
4	12-Sep-24 19:07:57	3	*61.54	70.62

*Indicates Change

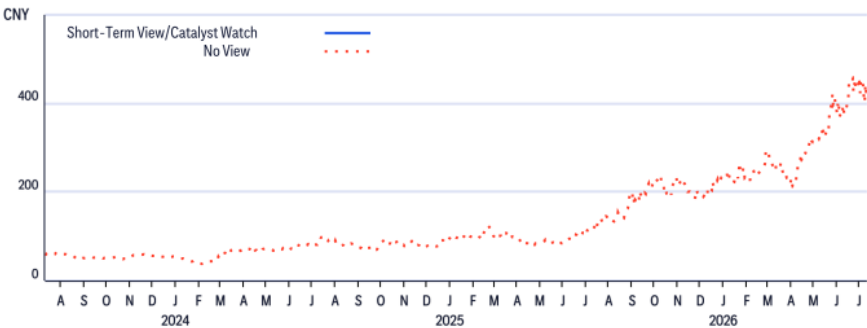
	Date	Rating	Target Price	Closing Price
5	12-Mar-25 12:31:10	3	*73.08	97.75
6	23-Apr-25 13:51:13	*1	*103.85	85.15
7	05-Jun-25 06:00:50	1	*103.85	92.42
8	27-Aug-25 18:20:49	1	*201.00	169.50

	Date	Rating	Target Price	Closing Price
9	18-Sep-25 12:35:26	1	*230.00	197.47
10	29-Oct-25 12:55:41	1	*281.00	227.80
11	12-Mar-26 16:42:37	1	*320.00	252.61
12	24-Apr-26 13:03:49	1	*360.00	301.36

Rating/target price changes above reflect Eastern Time

Shennan Circuit (002916.SZ)
Short-Term View/Catalyst Watch Research

Analyst: Eric Lau

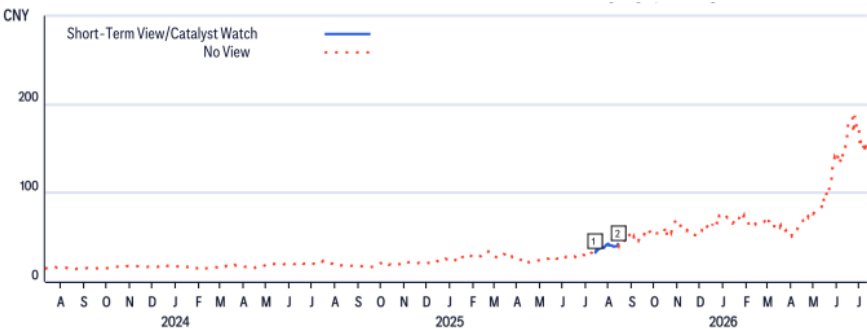


*Indicates Change

Rating/target price changes above reflect Eastern Time

Shengyi Technology (600183.SS)
Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	14-Jul-25 07:40:03	Add CW	Upside	30 Days	32.91

CW - Catalyst Watch, STV - Short-Term View

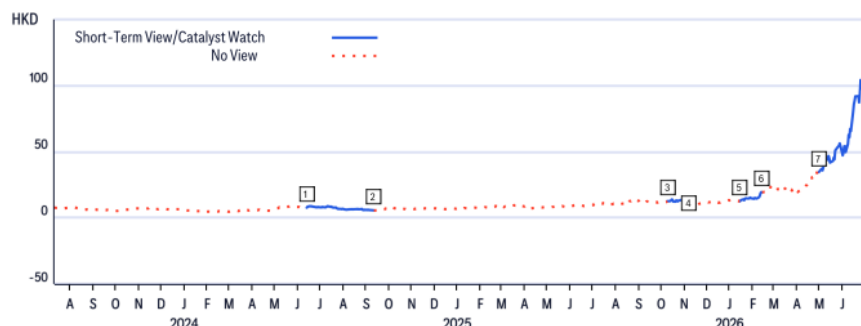
	Date	Action	Expected Direction	Duration	Closing Price
2	13-Aug-25 23:05:28	Remove CW	Upside	30 Days	42.62

Rating/target price changes above reflect Eastern Time

Kingboard Laminates Holdings
(1888.HK)

Short-Term View/Catalyst Watch Research

Analyst: Eric Lau



	Date	Action	Expected Direction	Duration	Closing Price
1	13-Jun-24 06:22:03	Add CW	Upside	90 Days	7.63
2	11-Sep-24 00:14:59	Remove CW	Upside	90 Days	5.59
3	09-Oct-25 07:10:54	Add CW	Upside	30 Days	12.56
	Date	Action	Expected Direction	Duration	Closing Price
4	07-Nov-25 12:06:35	Remove CW	Upside	30 Days	11.85
5	14-Jan-26 03:04:03	Add CW	Upside	30 Days	12.40
6	13-Feb-26 12:13:30	Remove CW	Upside	30 Days	19.29
	Date	Action	Expected Direction	Duration	Closing Price
7	03-May-26 14:02:15	Add CW	Upside	90 Days	34.54

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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